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Investor Presentation | China's AI Path | Asia Pacific

Rmb8.5tr Capex into 3x Compute

We forecast Rmb8.5tr total capex, 2026-30E, supporting IT capacity reaching 81GW by 2030E. We address the financing need and ROIC. We are OW AI infra (BABA, KC, VNET), AI labs (MiniMax, Zhipu) and GPU localization.

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CHINA INTERNET AND OTHER SERVICES	
Asia Pacific	
Industry View	Attractive

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FOUNDATION

September 16, 2026

Investor Presentation

China's AI Path

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Key Information



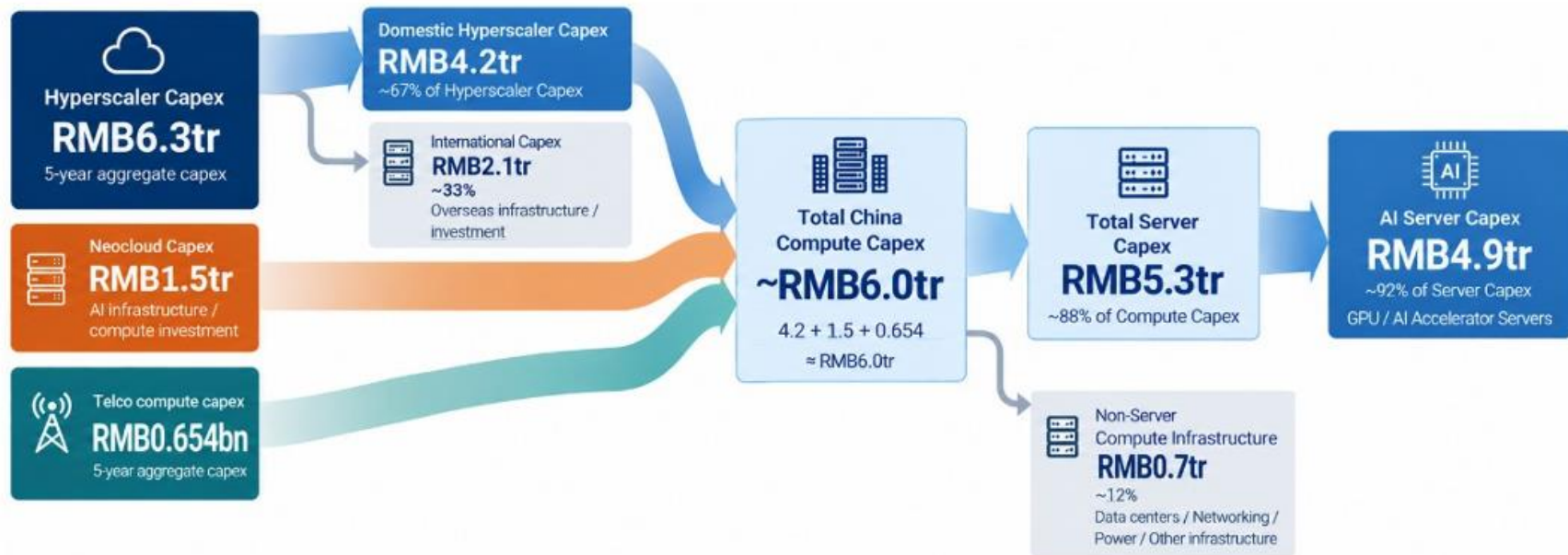
Source: Company data, Morgan Stanley Research estimates. Our ARR per MW is calculated based on a range of assumptions on TPS, token cost and training/inference mix, for which we have details in the ROIC section

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Capex Rmb8.5tr and 55GW compute in 5 years

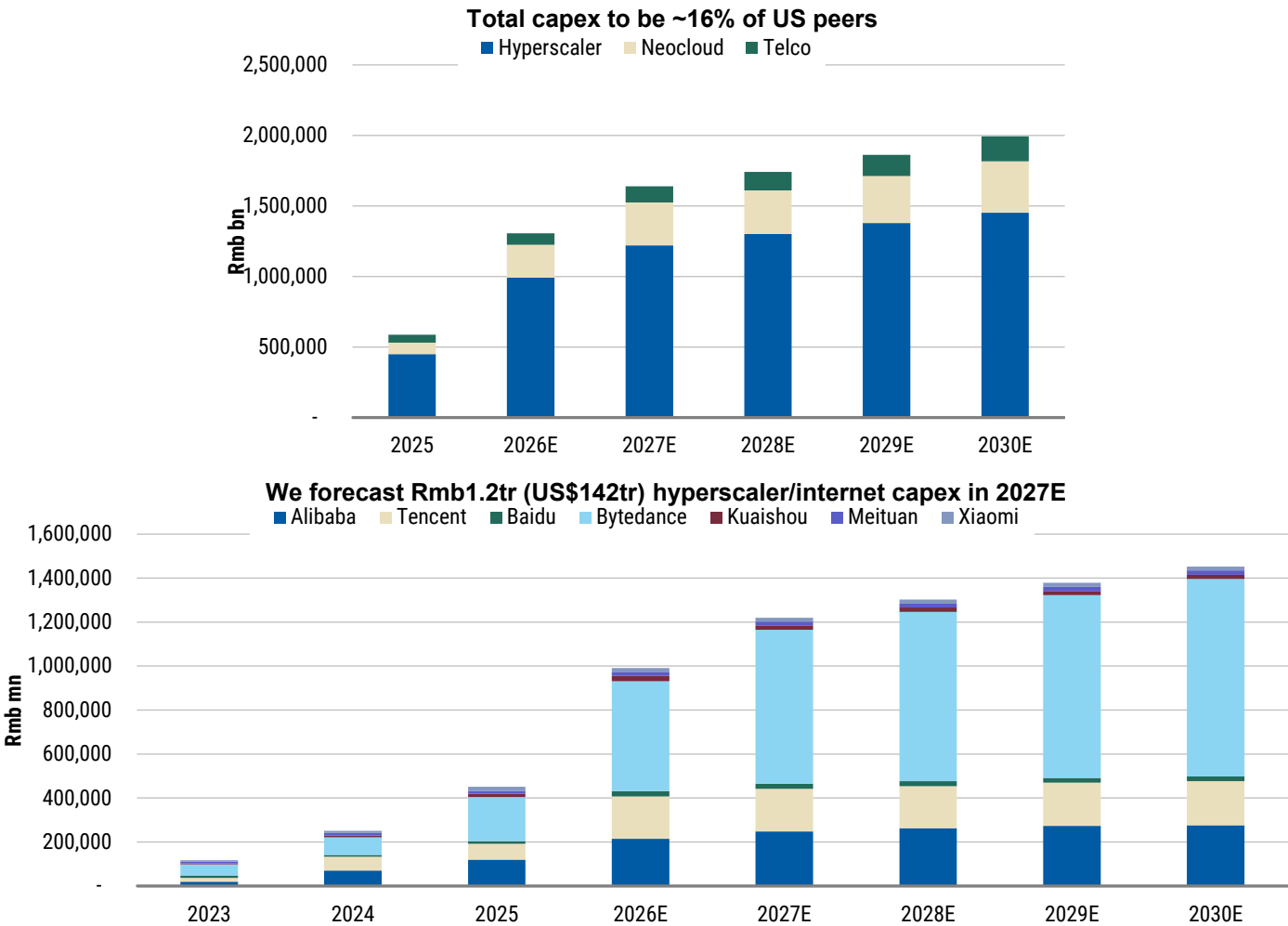
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We forecast Rmb8.5tr capex in 2026-30E



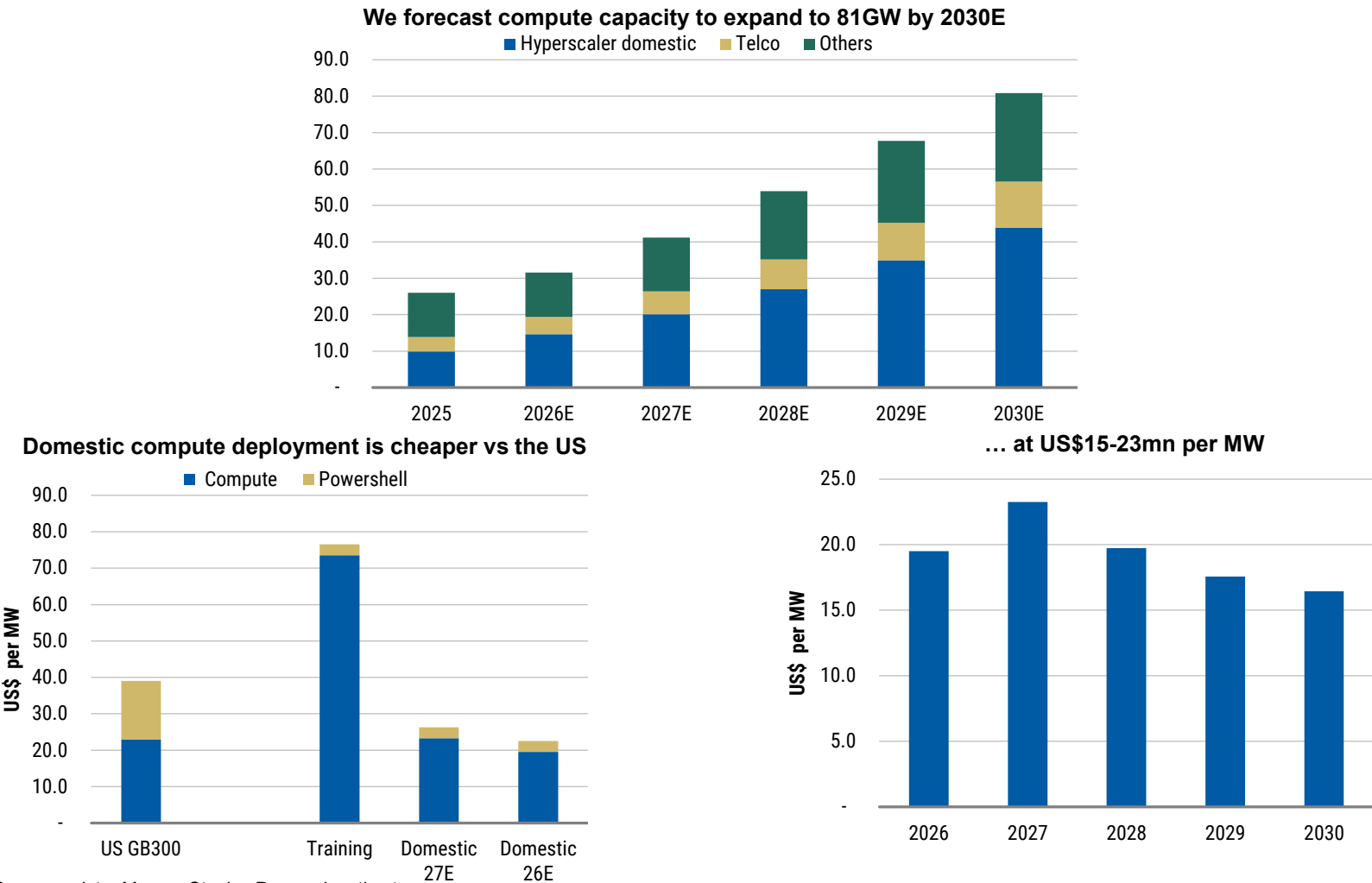
Source: Company data, Morgan Stanley Research estimates.

AI Cloud is the major growth driver

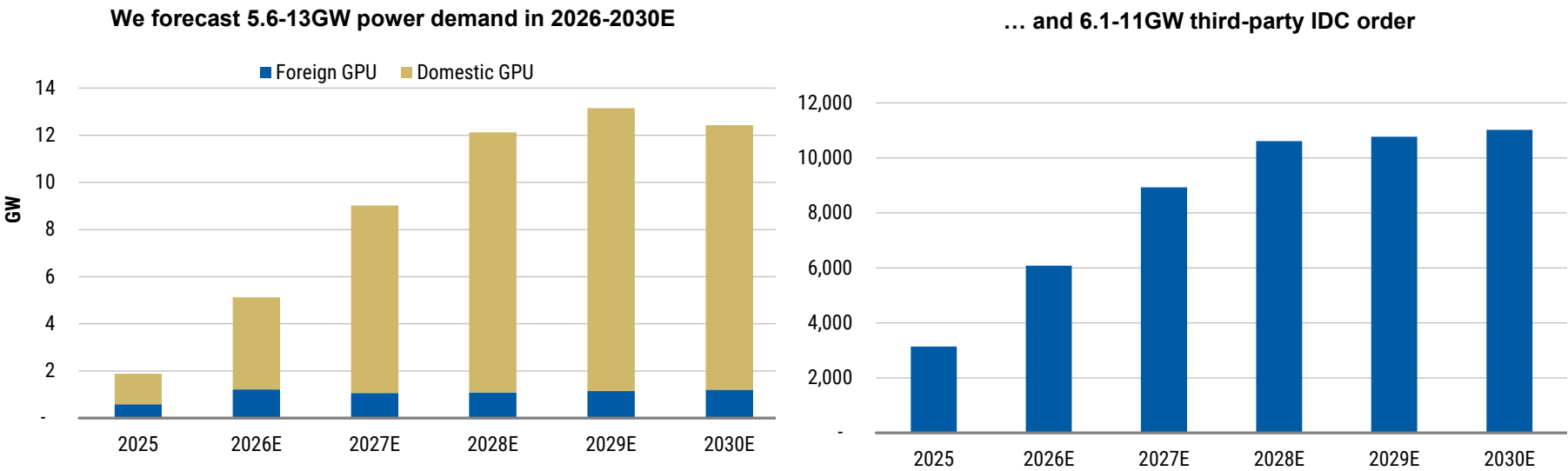


Source: Company data, Morgan Stanley Research estimates.

... Should translate into ~55GW compute domestically



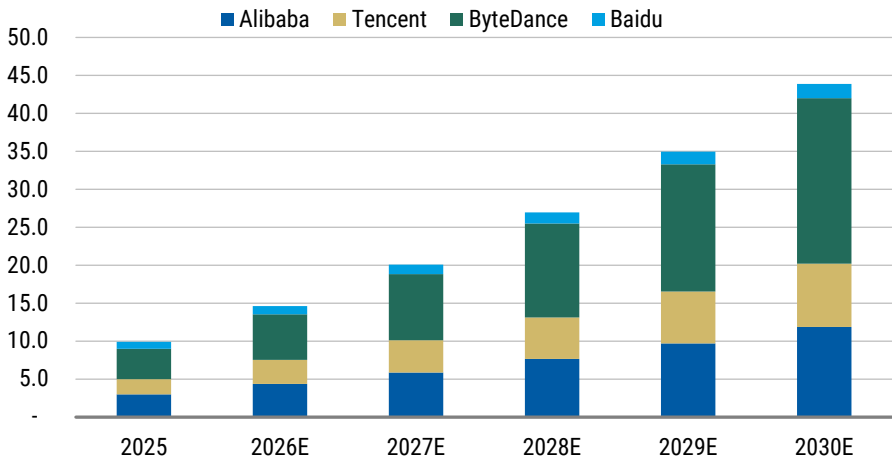
Power demand and datacenter order forecasts



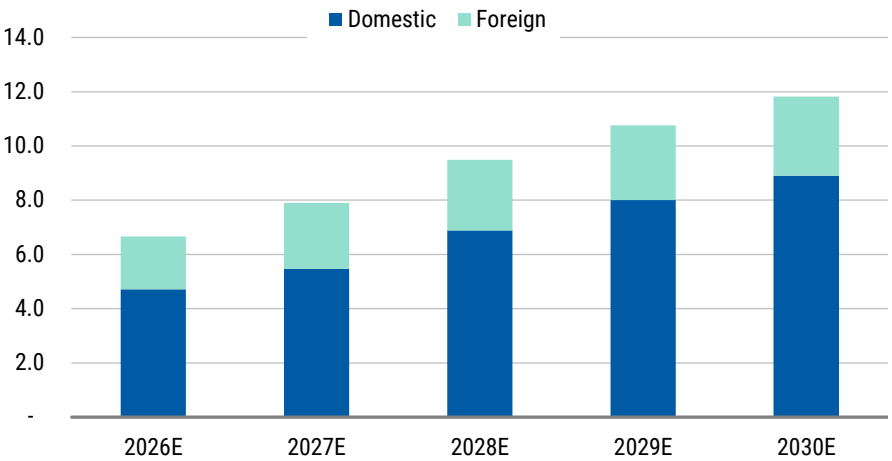
Source: Company data, Morgan Stanley Research estimates.

AI Cloud is the major growth driver

We forecast 34GW domestic net adds by hyperscalers in 2026-30E



... 47GW on global scale

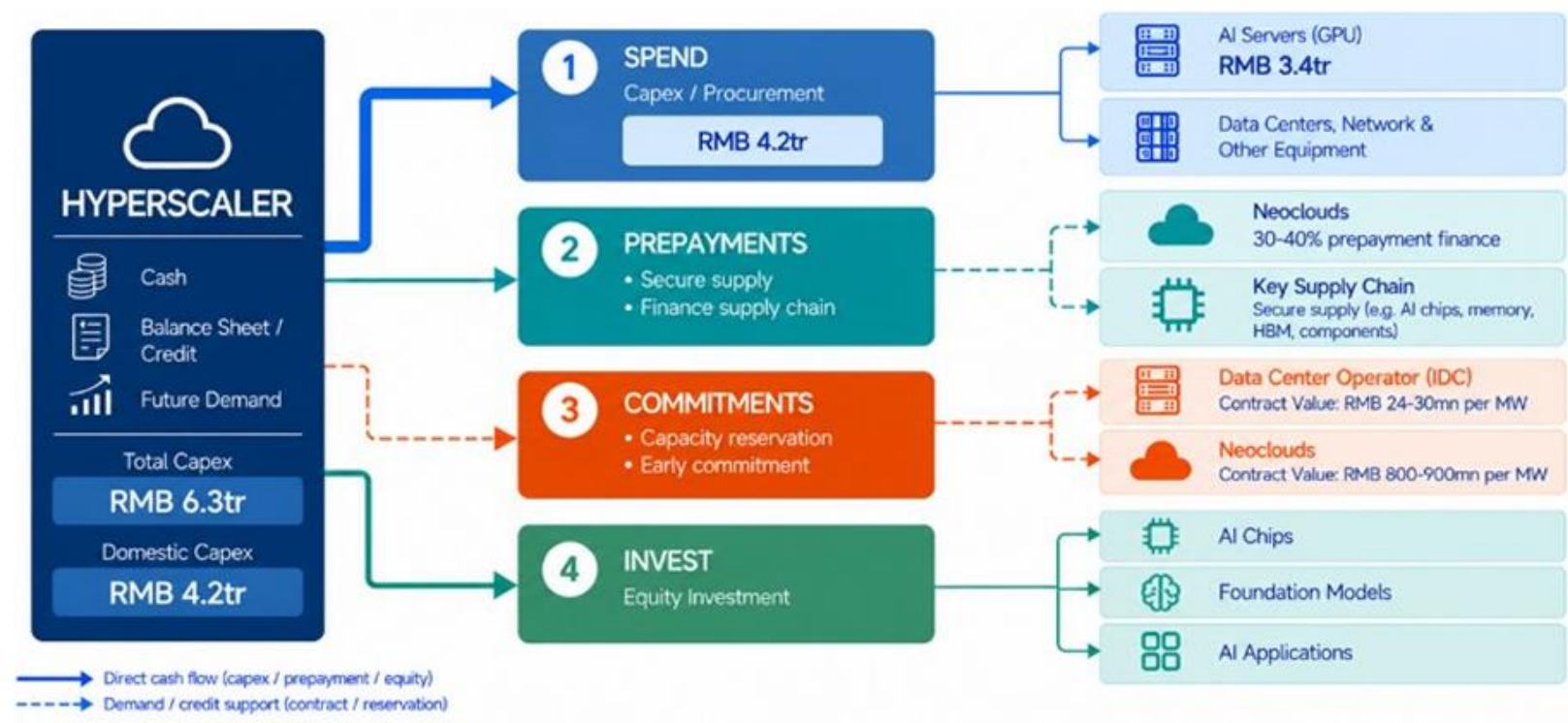


Source: Company data, Morgan Stanley Research estimates.

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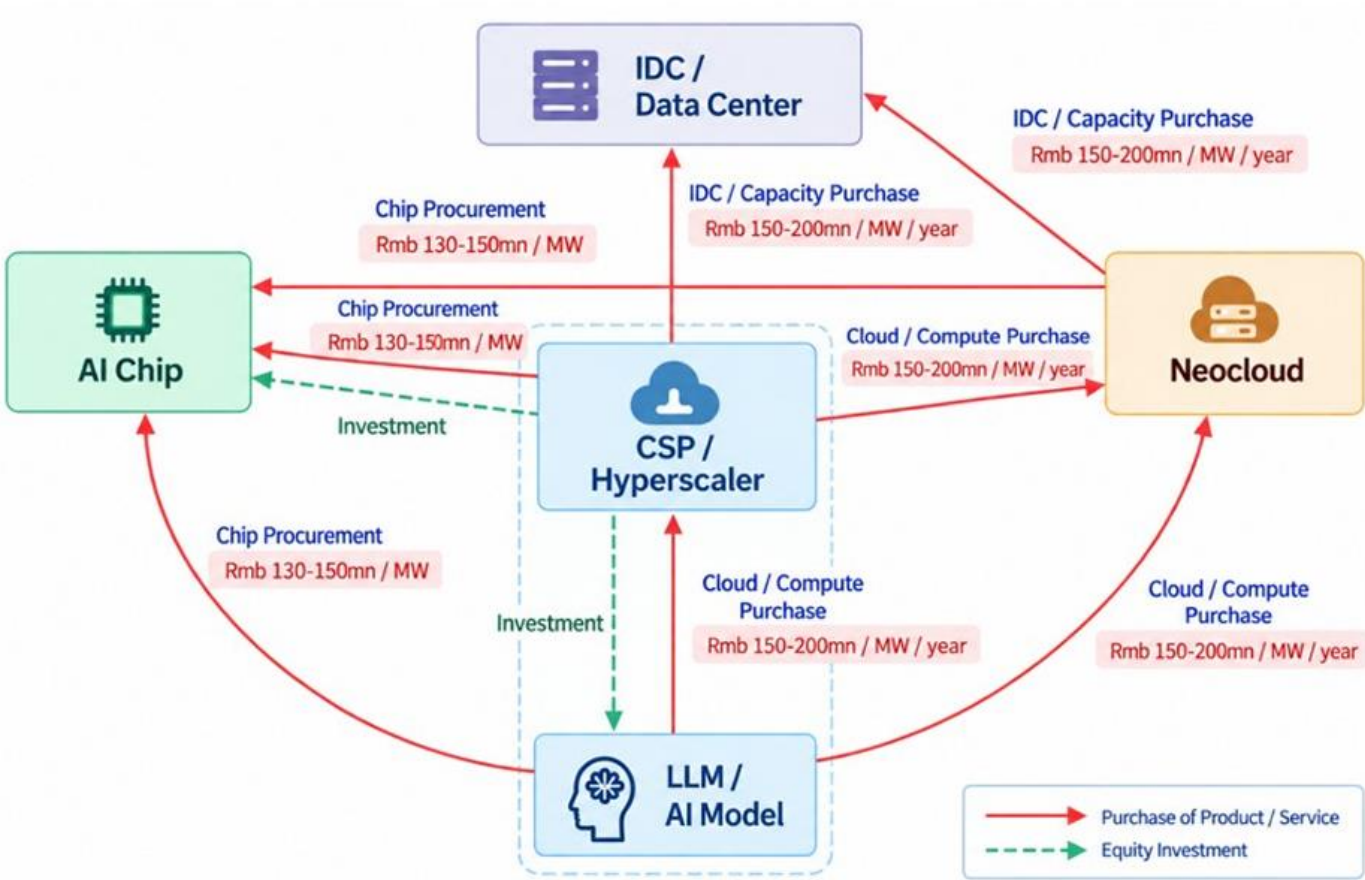
Financing – offshore capex is the focus

Hyperscalers assuming multiple roles in the supply chain



Source: Company data, Morgan Stanley Research estimates.

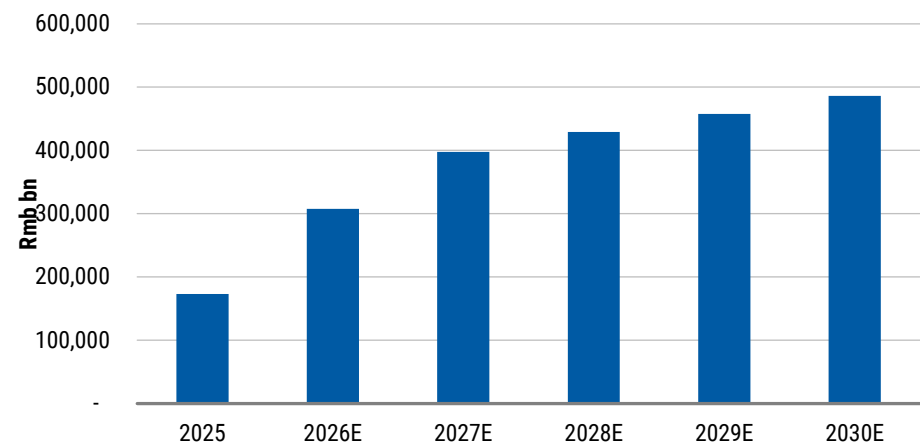
Circularity is also more limited in China



Source: Company data, Morgan Stanley Research estimates.

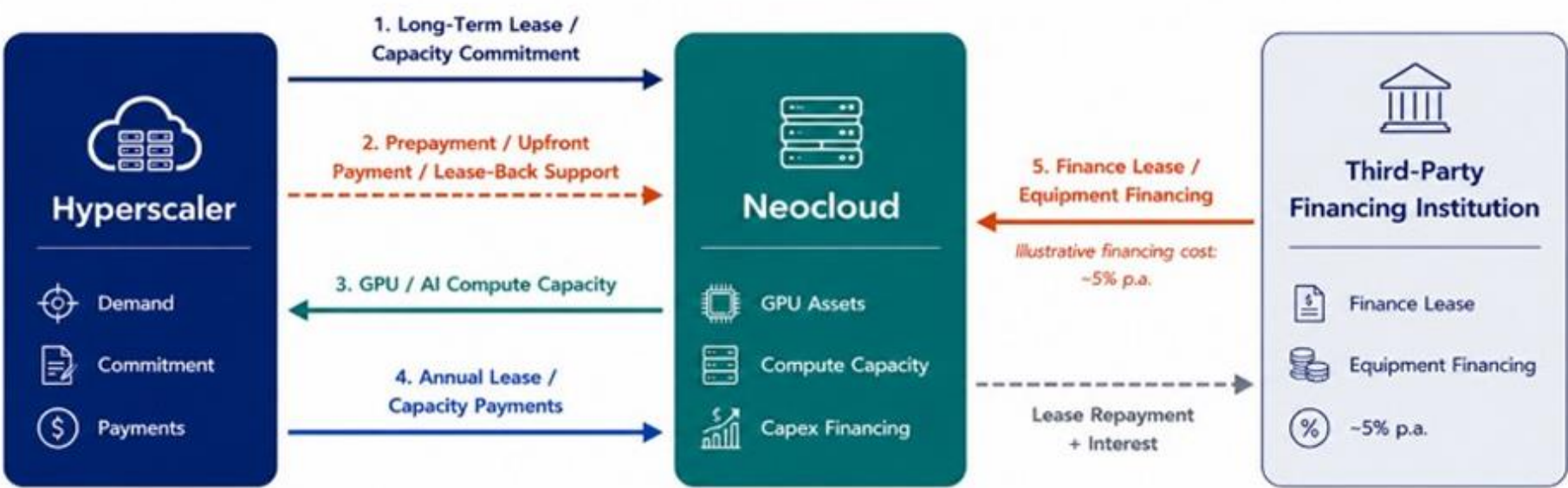
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Rmb2.0tr offshore capex is the key consideration



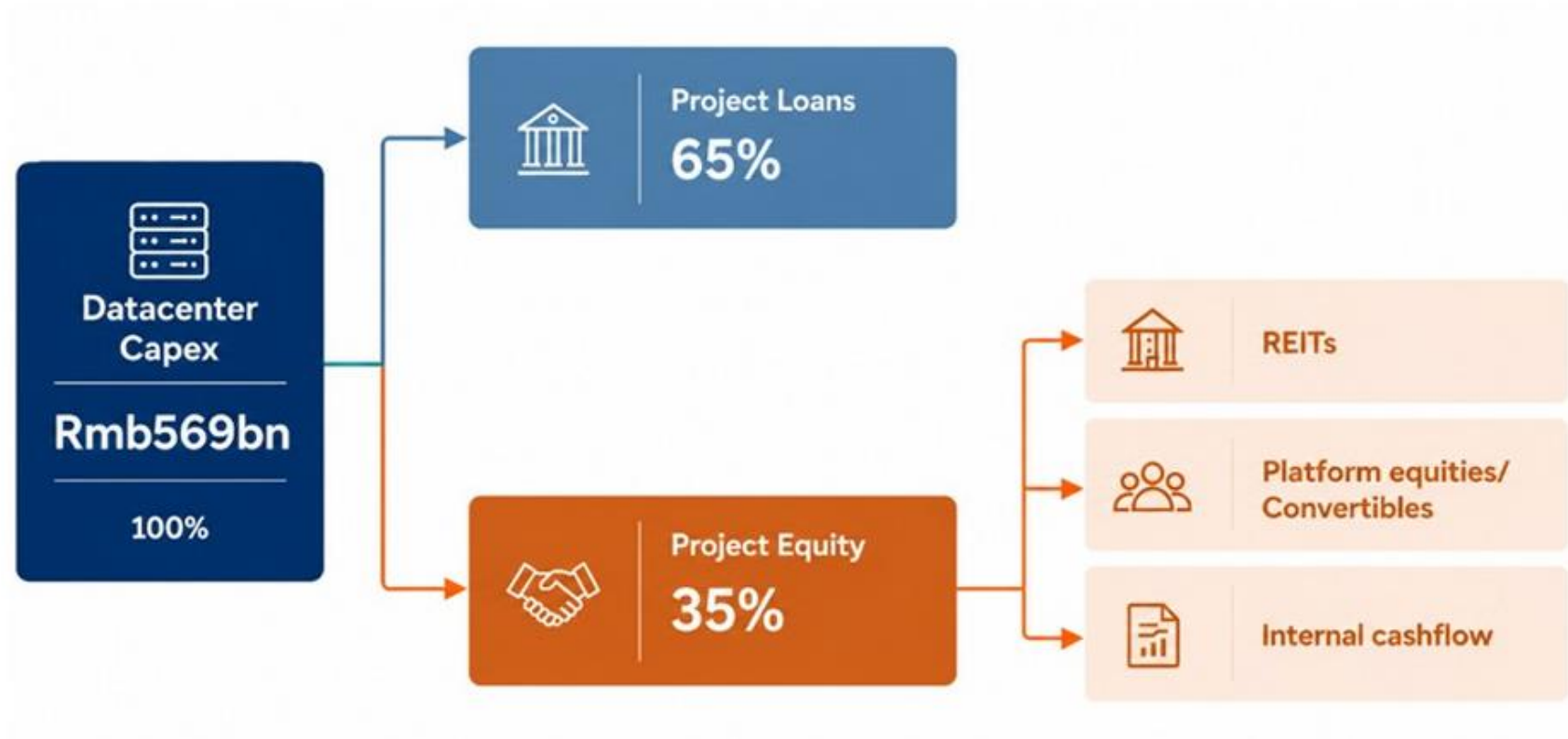
Source: Company data, Morgan Stanley Research estimates.

Neocloud financing – more heavy debt/lease obligations



Source: Company data, Morgan Stanley Research.

Datacenter Financing



Source: Company data, Morgan Stanley Research.

Morgan Stanley

ROIC

GPU IaaS – self-owned vs rented

Self-owned – 44% OP margin, 13% ROIC and 3-year payback

ROIC for CSP / hyperscalers self-built IaaS (Rmb)					
Monthly server rental fee (Rmb)	350,000	300,000	250,000	200,000	150,000
Revenue	4,200,000	3,600,000	3,000,000	2,400,000	1,800,000
Server depreciation	2,400,000	2,000,000	1,600,000	1,200,000	800,000
IDC depreciation	26,667	26,667	26,667	26,667	26,667
Energy cost	68,000	68,000	68,000	68,000	68,000
Total opex	2,494,667	2,094,667	1,694,667	1,294,667	894,667
OP / EBIT	1,705,333	1,505,333	1,305,333	1,105,333	905,333
% margin	40.6%	41.8%	43.5%	46.1%	50.3%
Tax rate	15.0%	15.0%	15.0%	15.0%	15.0%
NOPAT	1,449,533	1,279,533	1,109,533	939,533	769,533
Server	12,000,000	10,000,000	8,000,000	6,000,000	4,000,000
IDC	400,000	400,000	400,000	400,000	400,000
Total capex	12,400,000	10,400,000	8,400,000	6,400,000	4,400,000
ROIC (NOPAT / Capex)	11.7%	12.3%	13.2%	14.7%	17.5%
EBITDA	4,132,000	3,532,000	2,932,000	2,332,000	1,732,000
Tax	(255,800)	(225,800)	(195,800)	(165,800)	(135,800)
Operating cash flow	3,876,200	3,306,200	2,736,200	2,166,200	1,596,200
Cash payback (yrs)	3.20	3.15	3.07	2.95	2.76

Rented infra – no capex, ~20% OP margin

ROIC for CSP / hyperscalers +neocloud IaaS (Rmb)					
Monthly server rental fee (Rmb)	200,000	225,000	250,000	275,000	300,000
Revenue	2,400,000	2,700,000	3,000,000	3,300,000	3,600,000
Monthly server rental cost	200,000	200,000	200,000	200,000	200,000
Server leasing cost	2,400,000	2,400,000	2,400,000	2,400,000	2,400,000
Total opex	2,400,000	2,400,000	2,400,000	2,400,000	2,400,000
OP / EBIT	-	300,000	600,000	900,000	1,200,000
% margin	0.0%	11.1%	20.0%	27.3%	33.3%
Tax rate	15.0%	15.0%	15.0%	15.0%	15.0%
NOPAT	-	255,000	510,000	765,000	1,020,000
Server	-	-	-	-	-
IDC	-	-	-	-	-
Total capex	-	-	-	-	-
ROIC (NOPAT / Capex)	-	-	-	-	-
EBITDA	-	300,000	600,000	900,000	1,200,000
Tax	-	(45,000)	(90,000)	(135,000)	(180,000)
Operating cash flow	-	255,000	510,000	765,000	1,020,000
Cash payback (yrs)	-	-	-	-	-

Source: Company data, Morgan Stanley Research estimates.

MaaS – 1P vs 3rd party API

1P Model – 53%OP margin, 19% ROIC and 2.5-year payback

ROIC for CSP / hyperscalers self-built MaaS (Rmb)					
Token throughput (token / second / GPU)	2,000	3,000	4,000	4,500	5,000
Inference vs training workload	30.0%	40.0%	50.0%	60.0%	70.0%
Utilization rate	75.0%	75.0%	75.0%	75.0%	75.0%
Revenue generating tokens (mn)	113,530	227,059	378,432	510,883	662,256
Input	4.00	5.50	7.00	8.50	10.00
Input (KV Cache)	0.40	0.55	0.70	0.85	1.00
Output	12.00	16.50	21.00	25.50	30.00
Blended (Rmb/mn)	5.46	7.51	9.56	11.60	13.65
Blended (US\$/mn)	0.81	1.11	1.42	1.72	2.02
Revenue	619,872	1,704,647	3,615,918	5,927,522	9,039,794
Server depreciation	1,600,000	1,600,000	1,600,000	1,600,000	1,600,000
IDC depreciation	26,667	26,667	26,667	26,667	26,667
Energy cost	68,000	68,000	68,000	68,000	68,000
Total cost and opex	1,694,667	1,694,667	1,694,667	1,694,667	1,694,667
Inference cost	508,400	677,867	847,333	1,016,800	1,186,267
Gross profit	111,472	1,026,780	2,768,584	4,910,722	7,853,528
% margin	18.0%	60.2%	76.6%	82.8%	86.9%
Training cost	1,186,267	1,016,800	847,333	677,867	508,400
OP / EBIT	(1,074,795)	9,980	1,921,251	4,232,856	7,345,128
% margin	-173.4%	0.6%	53.1%	71.4%	81.3%
Tax rate	15.0%	15.0%	15.0%	15.0%	15.0%
NOPAT	(913,576)	8,483	1,633,063	3,597,927	6,243,359
Server	8,000,000	8,000,000	8,000,000	8,000,000	8,000,000
IDC	400,000	400,000	400,000	400,000	400,000
Total capex	8,400,000	8,400,000	8,400,000	8,400,000	8,400,000
ROIC (NOPAT / Capex)	-10.9%	0.1%	19.4%	42.8%	74.3%
EBITDA	551,872	1,636,647	3,547,918	5,859,522	8,971,794
Tax	161,219	(1,497)	(288,188)	(634,928)	(1,101,769)
Operating cash flow	713,091	1,635,150	3,259,730	5,224,594	7,870,025
Cash payback (yrs)	11.78	5.14	2.58	1.61	1.07

3P model – 57% OP margin, 29% ROIC and 2-year payback

ROIC for CSP / hyperscalers self-built 3rd party API (Rmb)					
1P base case throughput	4,000	4,000	4,000	4,000	4,000
Discount to 1P model	50%	40%	30%	20%	10%
Token throughput (token / second / GPU)	2,000	2,400	2,800	3,200	3,600
Inference vs training workload	100.0%	100.0%	100.0%	100.0%	100.0%
Utilization rate	75.0%	75.0%	75.0%	75.0%	75.0%
Revenue generating tokens (mn)	378,432	454,118	529,805	605,491	681,178
Input	4.00	5.50	7.00	8.50	10.00
Input (KV Cache)	0.40	0.55	0.70	0.85	1.00
Output	12.00	16.50	21.00	25.50	30.00
Blended (Rmb/mn)	5.46	7.51	9.56	11.60	13.65
Blended (US\$/mn)	0.81	1.11	1.42	1.72	2.02
Revenue	2,066,239	3,409,294	5,062,285	7,025,212	9,298,074
Sharing ratio	10%	10%	10%	10%	10%
Revenue sharing	206,624	340,929	506,228	702,521	929,807
Server depreciation	1,600,000	1,600,000	1,600,000	1,600,000	1,600,000
IDC depreciation	26,667	26,667	26,667	26,667	26,667
Energy cost	68,000	68,000	68,000	68,000	68,000
Total cost and opex	1,901,291	2,035,596	2,200,895	2,397,188	2,624,474
Inference cost	1,901,291	2,035,596	2,200,895	2,397,188	2,624,474
Gross profit	164,948	1,373,696	2,861,390	4,628,024	6,673,600
% margin	8.0%	40.3%	56.5%	65.9%	71.8%
OP / EBIT	164,948	1,373,696	2,861,390	4,628,024	6,673,600
% margin	8.0%	40.3%	56.5%	65.9%	71.8%
Tax rate	15.0%	15.0%	15.0%	15.0%	15.0%
NOPAT	140,206	1,167,643	2,432,181	3,933,820	5,672,560
Server	8,000,000	8,000,000	8,000,000	8,000,000	8,000,000
IDC	400,000	400,000	400,000	400,000	400,000
Total capex	8,400,000	8,400,000	8,400,000	8,400,000	8,400,000
ROIC (NOPAT / Capex)	1.7%	13.9%	29.0%	46.8%	67.5%
EBITDA	1,791,615	3,000,364	4,488,056	6,254,690	8,300,267
Tax	(24,742)	(206,055)	(429,208)	(694,204)	(1,001,040)
Operating cash flow	1,766,873	2,794,310	4,058,848	5,560,487	7,299,227
Cash payback (yrs)	4.75	3.01	2.07	1.51	1.15

Source: Company data, Morgan Stanley Research estimates.

Domestic inferencing – ROIC could be lower, but room for improvement

ROIC for CSP / hyperscalers self-built 3rd party API (Rmb)	Foreign					
Performance vs foreign server		20%	25%	30%	35%	40%
Token throughput (token / second / GPU)	2,800	560	700	840	980	1,120
Inference vs training workload	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Utilization rate	75.0%	75.0%	75.0%	75.0%	75.0%	75.0%
Revenue generating tokens (mn)	529,805	105,961	132,451	158,941	185,432	211,922
Input	7.00	7.00	7.00	7.00	7.00	7.00
Input (KV Cache)	0.70	0.70	0.70	0.70	0.70	0.70
Output	21.00	21.00	21.00	21.00	21.00	21.00
Blended (Rmb/mn)	9.56	9.56	9.56	9.56	9.56	9.56
Blended (US\$/mn)	1.42	1.42	1.42	1.42	1.42	1.42
Revenue	5,062,285	1,012,457	1,265,571	1,518,685	1,771,800	2,024,914
Sharing ratio		10%	10%	10%	10%	10%
Revenue sharing	506,228	101,246	126,557	151,869	177,180	202,491
Server depreciation	1,600,000	800,000	800,000	800,000	800,000	800,000
IDC depreciation	26,667	26,667	26,667	26,667	26,667	26,667
Energy cost	68,000	68,000	68,000	68,000	68,000	68,000
Total cost and opex	2,200,895	995,912	1,021,224	1,046,535	1,071,847	1,097,158
Inference cost	2,200,895	995,912	1,021,224	1,046,535	1,071,847	1,097,158
Gross profit	2,861,390	16,545	244,347	472,150	699,953	927,756
% margin	56.5%	1.6%	19.3%	31.1%	39.5%	45.8%
OP / EBIT	2,861,390	16,545	244,347	472,150	699,953	927,756
% margin	56.5%	1.6%	19.3%	31.1%	39.5%	45.8%
Tax rate	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%
NOPAT	2,432,181	14,063	207,695	401,328	594,960	788,593
Server	8,000,000	4,000,000	4,000,000	4,000,000	4,000,000	4,000,000
IDC	400,000	400,000	400,000	400,000	400,000	400,000
Total capex	8,400,000	4,400,000	4,400,000	4,400,000	4,400,000	4,400,000
ROIC (NOPAT / Capex)	29.0%	0.3%	4.7%	9.1%	13.5%	17.9%
EBITDA	4,488,056	843,211	1,071,014	1,298,817	1,526,620	1,754,423
Tax	(429,208)	(2,482)	(36,652)	(70,823)	(104,993)	(139,163)
Operating cash flow	4,058,848	840,730	1,034,362	1,227,994	1,421,627	1,615,259
Cash payback (yrs)	2.07	5.23	4.25	3.58	3.10	2.72

Source: Company data, Morgan Stanley Research estimates.

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Valuation Methodology and Risks

MiniMax (0100.HK)

We apply discounted cash flow (DCF) methodology to value the company, assuming a 15% WACC and 3% terminal growth. Our PT implies 25x P/S for 2027.

Risks to Upside

- Launching global SOTA model
- Eased market competition

Risks to Downside

- Geopolitical risk
- Intensified competition and price war
- Model performance lagging peers

Z.AI CO., LTD. (2513.HK)

We apply discounted cash flow (DCF) methodology to value the company, assuming a 15% WACC and 3% terminal growth. Our price target implies 35x P/S for 2027e.

Risks to Upside

- Launching global SOTA model
- Global expansion working with overseas CSP
- Easing market competition

Risks to Downside

- Computing constraints
- Model performance lagging peers
- Geopolitical risk

Alibaba Group Holding (BABA.N)

Base case, discounted cash flow model. Key assumptions include a 10% WACC and 3% terminal growth rate, in line with our Chinese Internet coverage range.

Risks to Upside

- Better core e-commerce monetization, driving earnings growth upside
- Faster enterprise digitalization, re-accelerating cloud revenue growth
- Stronger AI demand to drive cloud revenue

Risks to Downside

- More intense competition
- Higher-than-expected reinvestment costs
- Weaker consumption amid a slower post-Covid recovery
- Slower pace of enterprise digitalization pace
- Regulation - additional scrutiny of Internet platforms

Kingsoft Cloud Holdings (KC.O)

Base case, derived from 5.5x 2027e EV/EBITDA multiple. This multiple is at a discount to the US neocloud peer average of 13x and median of 10x to reflect lower asset yields and greater uncertainty around supply chain availability. We prefer EBITDA for comparability across companies given differences in depreciation policies and limited EBIT.

Risks to Upside

- Stronger-than-expected AI GPU demand
- Lower-than-expected interest rate driving better return profile
- Better-than-expected development of Xiaomi's AI model

Risks to Downside

- Supply-side restrictions leading to procurement shortfall
- Higher-than-expected interest rates leading to higher cost of funding
- Slower-than-expected AI model developments in China

VNET Group Inc (VNET.O)

Base case, 10-year discounted cash flow (DCF) model. Our assumption of weighted average cost of capital (WACC) is 8.7%, with a 4.0% cost of debt, 14.0% cost of equity and 50% debt weighting. We assume a terminal growth rate (TGR) of 3%.

Risks to Upside

- Adding new wholesale contracts
- Faster move-in than expected
- Further interest rate cuts in China or the US
- Progress in asset monetization via REITs at accretive valuations

Risks to Downside

- Hyperscalers reducing their cloud capex, especially AI-related investment
- Delay of capacity delivery
- Weak sales execution

Disclosure Section

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Alibaba Group Holding (BABA.N) - As of 09/16/26 GMT in USD
Industry : China Internet and Other Services



Stock Rating History: 9/1/21 : O/A; 9/20/21 : O/I; 12/1/23 : E/I; 2/24/25 : O/A

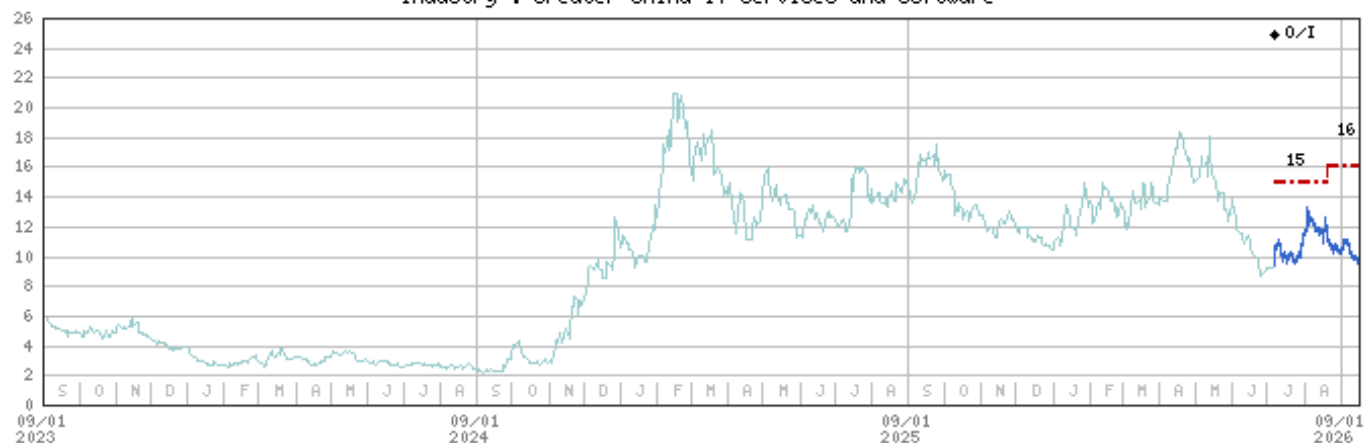
Price Target History: 7/6/21 : 270; 9/20/21 : 220; 11/19/21 : 180; 1/8/22 : 165; 2/25/22 : 145; 3/21/22 : 140; 9/29/22 : 110; 10/28/22 : 90; 11/18/22 : 100; 1/9/23 : 150; 11/17/23 : 110; 12/1/23 : 90; 1/8/24 : 85; 8/16/24 : 90; 10/9/24 : 115; 11/18/24 : 105; 1/9/25 : 100; 2/24/25 : 180; 7/9/25 : 150; 9/1/25 : 165; 9/29/25 : 200; 1/8/26 : 180; 5/14/26 : 190; 7/8/26 : 180

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Kingsoft Cloud Holdings (KC.O) - As of 09/16/26 GMT in USD
Industry : Greater China IT Services and Software



Stock Rating History: 7/7/26 : O/I

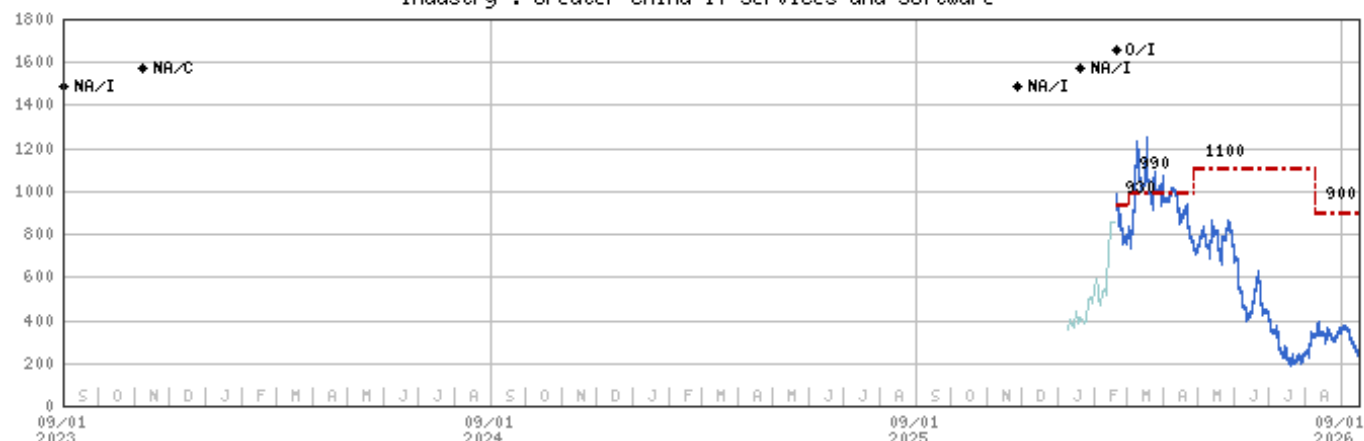
Price Target History: 7/7/26 : 15; 8/20/26 : 16

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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MiniMax (0100.HK) - As of 09/16/26 GMT in HKD
Industry : Greater China IT Services and Software



Stock Rating History: 9/1/21 : NA/I; 11/8/23 : NA/C; 11/28/25 : NA/I; 1/20/26 : NA/I; 2/20/26 : O/I

Price Target History: 1/20/26 : NA; 2/20/26 : 930; 3/3/26 : 990; 4/28/26 : 1100; 8/10/26 : 900

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

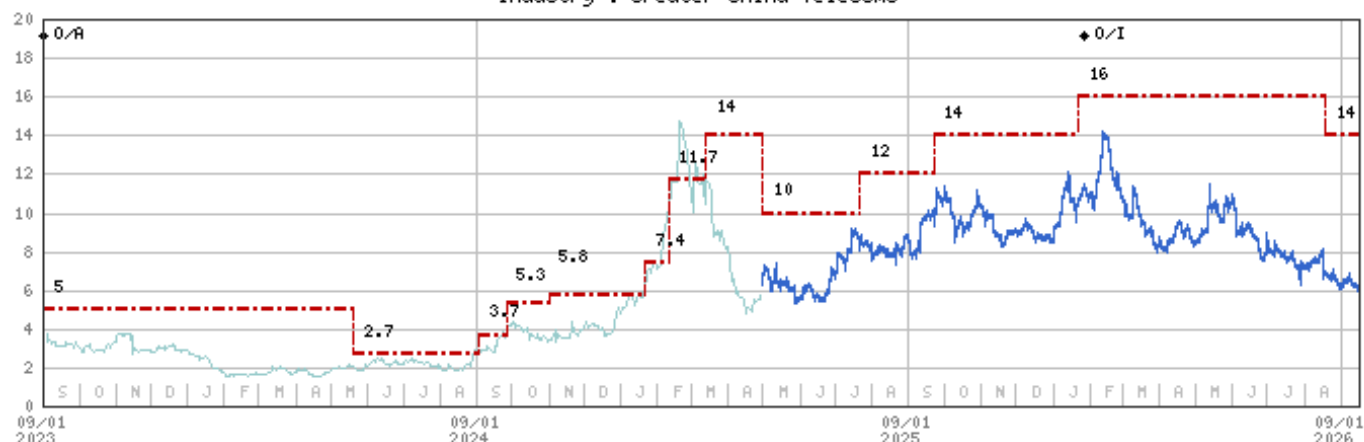
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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VNET Group Inc (VNET.O) - As of 09/16/26 GMT in USD
Industry : Greater China Telecoms



Stock Rating History: 9/1/21 : O/A; 1/27/26 : O/I

Price Target History: 5/18/21 : 37; 10/6/21 : 26; 2/9/22 : 16; 5/16/22 : 12; 9/12/22 : 11; 11/15/22 : 8.2; 3/13/23 : 5; 5/20/24 : 2.7; 9/3/24 : 3.7; 9/26/24 : 5.3; 11/1/24 : 5.8; 1/21/25 : 7.4; 2/10/25 : 11.7; 3/13/25 : 14; 4/30/25 : 10; 7/22/25 : 12; 9/22/25 : 14; 1/22/26 : 16; 8/19/26 : 14

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Internet and Other Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/15/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US\$21.35
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$8.06
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$27.09
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$15.04
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$16.21
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$78.08
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$12.09
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$109.34
Baidu Inc (BIDU.O)	U (08/19/2026)	US\$90.39
Meituan (3690.HK)	O (08/29/2024)	HK\$74.45
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$433.40
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$2.07
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$1.00
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$77.28
Weibo Corp (WB.O)	U (05/17/2024)	US\$6.61
Yang Liu		
Bilibili Inc (BILI.O)	++	US\$15.46
Kuaishou Technology (1024.HK)	E (08/20/2026)	HK\$29.66
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$119.49
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$10.64
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$39.25

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* Historical prices are not split adjusted.

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